

V3 MECHANISM – CONTINUOUS LINEAR SCALING (REPLACES BINARY TIERS)

VIX 15
\$80 invest

VIX 40
\$120 invest

← Saving to reserve

Drawing from reserve →

Every month's investment responds continuously to VIX. Low VIX = save more, deploy less. High VIX = deploy reserve, invest more. Unlike v2's binary thresholds, the strategy is **always active** — no waiting for rare panic events.

IRR WINNER — ANNUALISED RETURN



8.52% IRR (Baseline)
vs 8.07% for the strategy

+0.4549 pp advantage

ANNUALISED IRR

wins

Baseline8.52%Strategy v38.07%

FINAL PORTFOLIO

Baseline\$190,601Strategy v3\$173,492

TOTAL RETURN

Baseline392.5%Strategy v3348.3%

MAX DRAWDOWN
LESS NEGATIVE = BETTER

Baseline-53.2%Strategy v3-48.8%

ANNUALISED VOL
LOWER = BETTER

Baseline28.8%Strategy v327.9%

CASH RESERVE LEFT

Baseline—Strategy v3\$4,502

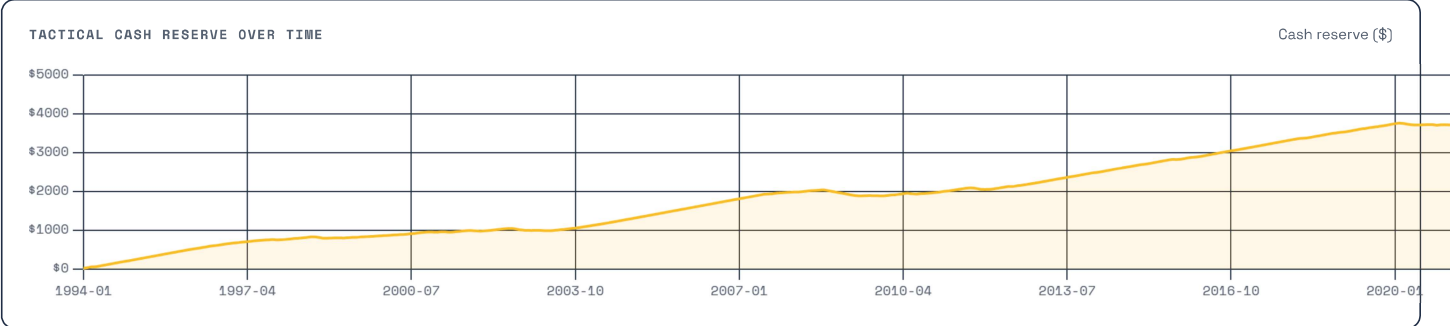
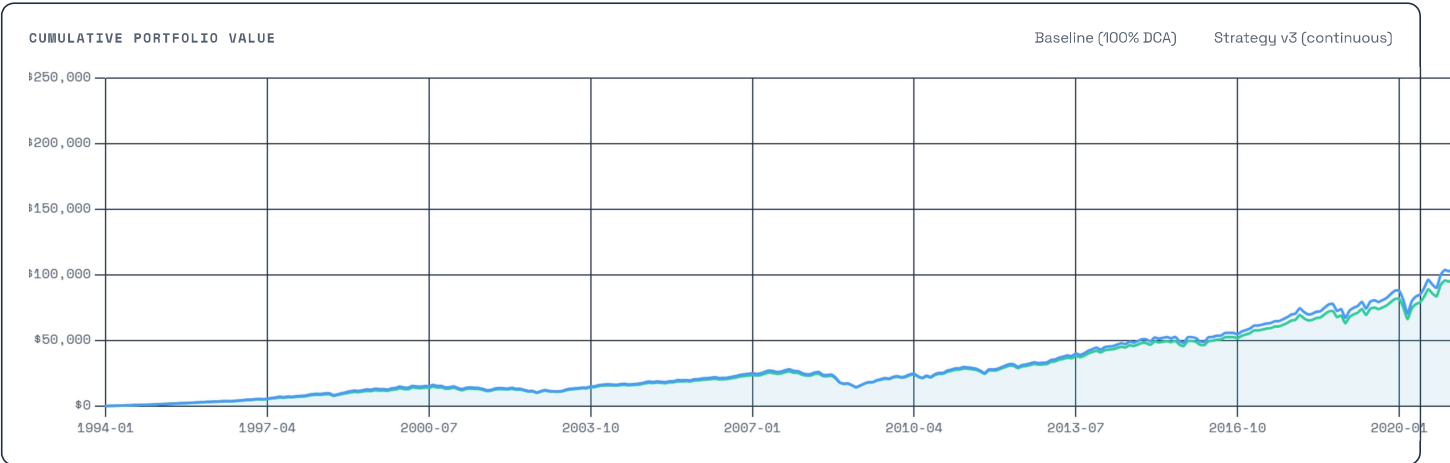
AVG VIX SCALE FACTOR0.2091 / 1.0

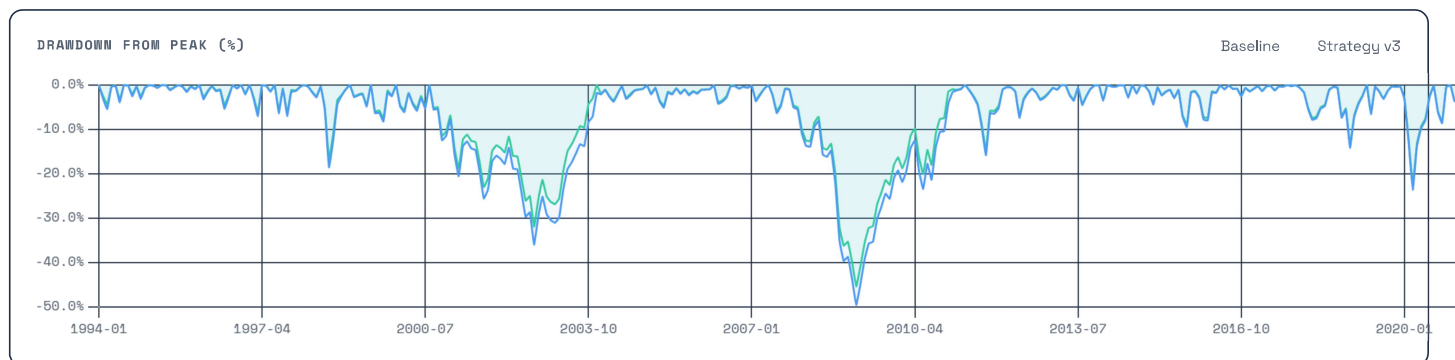
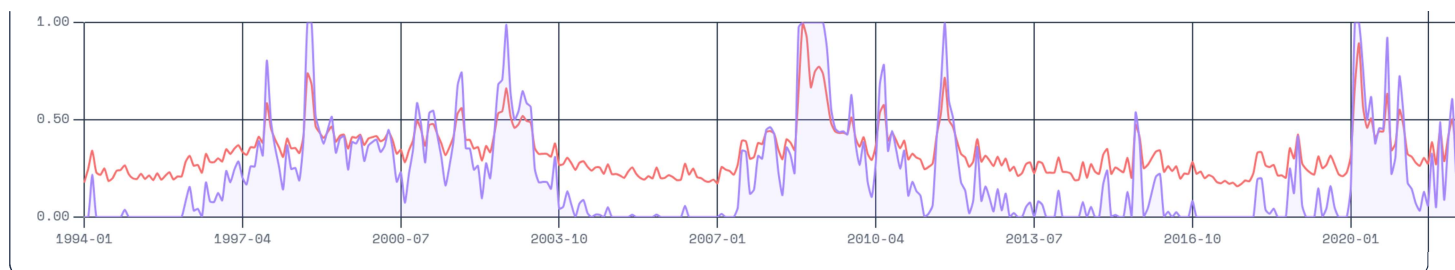
AVG MONTHLY DEPLOYED\$88.37

MONTHS DEPLOYING RESERVE46 months (VIX pulling extra)

MONTHS SAVING TO RESERVE341 months (VIX conserving)

PEAK RESERVE REACHED\$4502.40





V3 Parameters: VIX floor = 15 (min invest \$80/month), VIX ceiling = 40 (max invest \$120/month). Linear interpolation between floor and ceiling. \$100/month contribution fixed. Reserve cannot go negative. No transaction costs. SPX index price **only**, no dividends. IRR uses exact dated cash flows, annualised via Brent's method.

V2 → V3 change: Binary 4-tier threshold rules replaced with continuous linear scaling. In v2, markets spent 88.4% of time in Low/Calm regimes where the reserve rarely deployed. V3 keeps the strategy always active regardless of regime distribution.